

# Competitive Strategy

Luis Garicano



The University of Chicago Booth School of Business

# What is strategy (1/2)

- “The determination of the basic long-term goals and objectives of an enterprise, and the adoption of courses of action and the allocation of resources necessary for carrying out these goals.” (Alfred Chandler, 1962)
- “Developing a broad formula for how a business is going to compete, what its goals should be, and what policies will be needed to carry out those goals.” (Michael Porter, 1980)
- Chicago approach: A framework for making decisions faced at the highest levels of the organizational or business unit.

# What is strategy? (2/2)

Formulation & implementation of an organization's key market decisions

- Define the organization's goals and the methods by which they will be achieved
  - What activities an organization should and should not do
  - How

Strategic decisions:

- Extend across functional boundaries
  - Hence typically made by senior management
- Complex, ambiguous problems
  - Usually cannot be answered with quantitative certainty
  - But can learn frameworks of analysis
- At all stages of business life:
  1. Business Plan/Competitive Advantage (Tesla, Netflix)
    - Useful also as an investor
  2. Expand into new markets or segments (Netflix v3.0)
  3. Merge as buyer or an acquisition target (Newell)
  4. Enter & fight entry (Google Android)
  5. Respond to an innovation/disruption

# Example: AI today?

Will this market be concentrated?

Incumbents advantages/Barriers to Entry

- IP?
- Secret weights?
- Access to data: Large “general” data advantage for now
- Access to talent?
- Scale?

Google insider; “We have no moat!”  
weights for algo?

# Example: AI today?

- IP?
  - But knowledge is in the researchers head (were in Google)
- Secret weights?
  - But Meta Open Source strategy

Access to data: Large “general” data advantage for now

- But high quality data may be proprietary (e.g. clients)
- Individual industries may be very concentrated

Access to talent?

Scale?

- But finetuning a model with cheap hardware may dominate training from scratch a gigantic model

# Some intellectual history

## Competitive Strategy

1950s- 1960s: Not about general principles

1970s: BCG and the “experience curve”

1980: Michael Porter’s Competitive Strategy book brings SCP paradigm to strategy.

1990s: Game Theory works its way into the study of Strategy

2000s: org econ intro strategy?

## Industrial Organization

1950’s- 1970’s: “Structure-Conduct- Performance” paradigm

1980s: Game theory revolution in industrial organization allows for formal study of strategic interaction between firms.

1990s/ 2000s: Organizational economics

# Our Approach

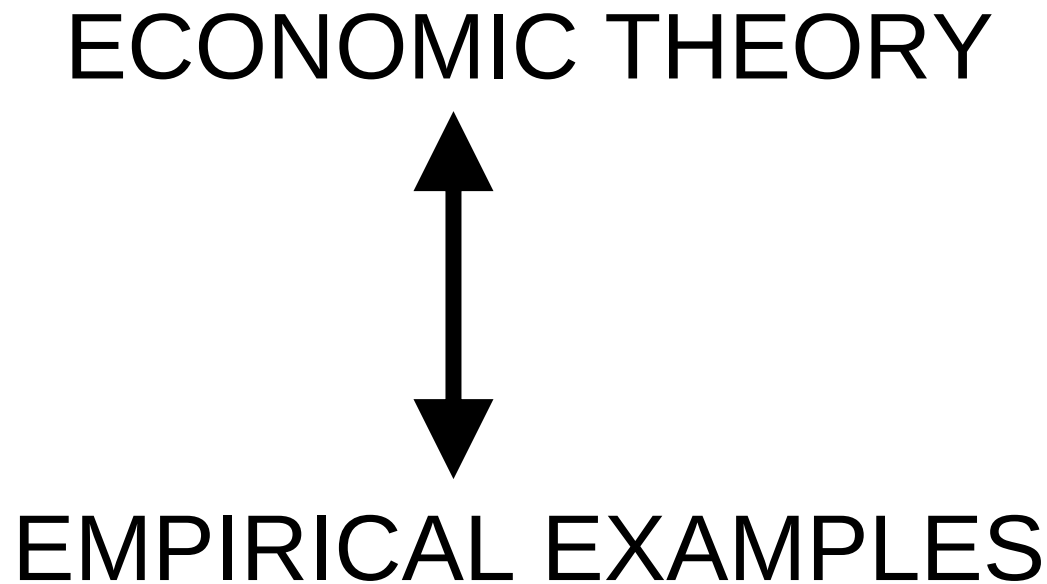
A purely theoretical approach:

- Start from first principles and derive theorems
  - Something like high school geometry
- Discover, e.g., the assumptions that are necessary for economic profit  $> 0$

A purely empirical approach to strategy:

- Look at firms that earn high economic profits
- Try to find common elements in their strategic decisions

# The Chicago philosophy...





# Economic Approach

# The economic way of thinking (1/4)

- Modern economics was born at UChicago
  - No University has more Nobel prizes (including Harvard, MIT...)
    - Samuelson, Friedman, Stigler, Miller, Coase, Becker, Fogel, Lucas, Scholes, Heckman, Prescott, Myerson, Fama, Hansen
  - No Business school has anywhere near as many
- Competitive Strategy at Chicago is more economics-intensive than at other business schools

# The economic way of thinking (2/4)

Economics is a method—it's not a “subject”

- Two building blocks
  - *Individuals exhibit maximizing behavior (weaker condition: they respond to incentives)*
  - *Markets exist and tend towards equilibrium*
- These parsimonious and clear assumptions create a powerful, cohesive framework for understanding human behavior
- We will apply these unflinchingly and unapologetically

individuals and companies will always respond to incentives and trade offs. Think; why someone reacts the way they do? Use econ principles to guess.

# Economic way of thinking (3/4)

## Two complementary views

Econs, very crucial for comp strat.  
- analyse how competitors will respond (Nash, Game)  
-

A price theoretic view of managerial decision-making (e.g. s 1,2,)

- Take others' actions as fixed. What action should you take?

A game theoretic view (e.g. s 3-7)

- Others' payoffs depend on my actions.
- What set of actions would constitute an “equilibrium”

Can be used on overlapping issues, e.g. product entry

- Are these “price” or “game” theoretic-type questions?
  - Are my salespeople knowledgeable about the segment?
  - Will my entry in prompt my competitor's entry into mine?
  - Can my factories produce the new product cheaply?

Think; Google and Microsoft. Who has greater incentives to develop AI?

Definitely Microsoft. Because Google's concern is that their search revenue will drop significantly, so their payoff is questionable.

But Microsoft earns current revenue not from search. So their payoff is much higher.

# The economic way of thinking (4/4)

- Economics has probably been objectively, disproportionately successful among alternative approaches
- *Basic exercise: describe → predict → prescribe*
- Assumptions strongly hold in practice (e.g., market efficiency)
  - Example: Google versus Microsoft in AI
  - Example: Rent control in cities

# Difference from Micro?

- Micro gave us the answers for two special cases:
  - Perfect competition: economic profits are zero. Nothing to do but set  $p = mc$
  - Pure monopoly: estimate the demand curve, set  $p$  such that  $mr = mc$
- These extremes give us very useful intuitions, can help us think about the overall economy
- These intuitions will be helpful when we analyze a firm's decision, but we will need to go beyond these models
- Competitive strategy: everything in between perfect competition and no competition

# Objective of Competitive Strategy

Objective: **deploy a firm's assets to maximize economic profit**

Economic Profit = Revenues minus Economic Costs

Huge current discussion: is profit the only objective?

Obviously, not for governments, NGOs, Universities...

What about firms?

In this course, yes, largely

See Milton Friedman's famous article

But what about stakeholders?

Maximise profit? some companies maximise non-profit agendas.  
- profits is the easiest matrix to align everyone in the company.

Milton Friedman. His biggest legacy is an article on NY Times that  
a company biggest motive is to maximise profits for shareholder's  
return.  
15

# Objective of Competitive Strategy

Objective: deploy a firm's assets to maximize economic profit

Economic Profit = Revenues minus Economic Costs

–Economic Costs are also called Opportunity Costs

- Value of using the resource in the best alternative use)
  - Cost of using a machine you already own not zero
    - you could sell it or rent it out
  - Cost of studying not zero,
    - you could be partying (or working) instead
- Not accounting costs! (e.g. historical cost, or internal transfer price within the firm)
- Ignore sunk costs: assets with no alternative use

Many entrepreneurs forgot to count in their own salaries as opportunity costs.



# Example: Moneyball

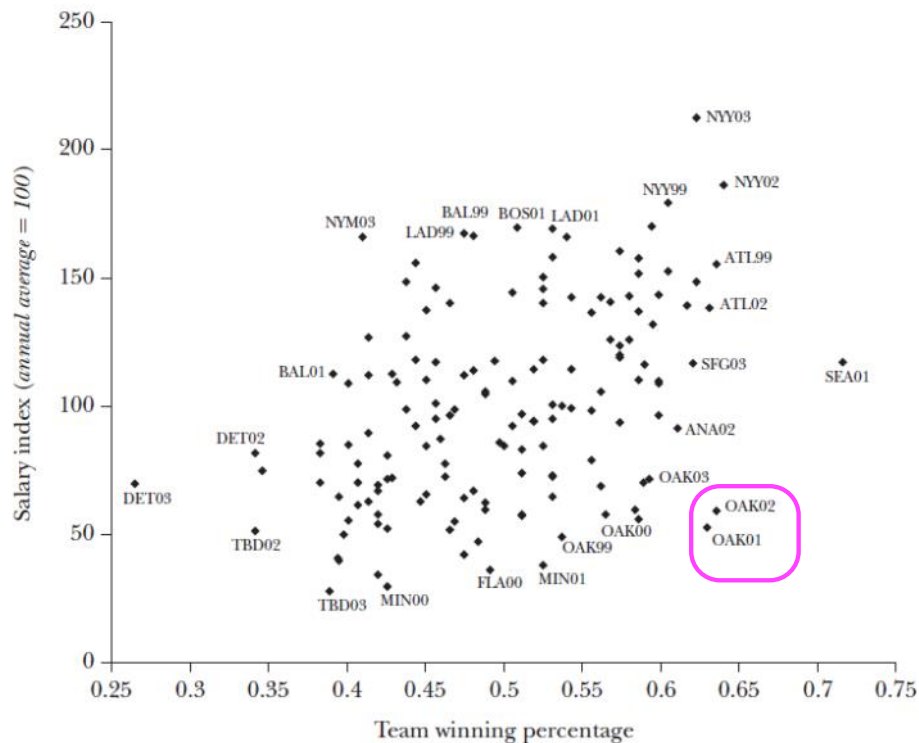
| Factor              | Cost per win percentage (2000) |
|---------------------|--------------------------------|
| On-base percentage  | \$1.05 m                       |
| Slugging percentage | \$ 5.11 m                      |

Source: Hakes and Sauer, 2006, "An Economic Evaluation of the Moneyball Hypothesis."  
Journal of Economic Perspectives.

# Example: Moneyball

Figure 2

Frontier for Efficient Conversion of Team Salary into Team Winning Percentage, 1999–2003



Source: Hakes and Sauer, 2006, “An Economic Evaluation of the Moneyball Hypothesis.”  
Journal of Economic Perspectives.

## But: change 2000-2004

| Factor              | Cost per win percentage (2000) | Cost per win percentage (2004) |
|---------------------|--------------------------------|--------------------------------|
| On-base percentage  | \$1.05 m                       | \$2.70 m                       |
| Slugging percentage | \$5.11 m                       | \$3.33 m                       |

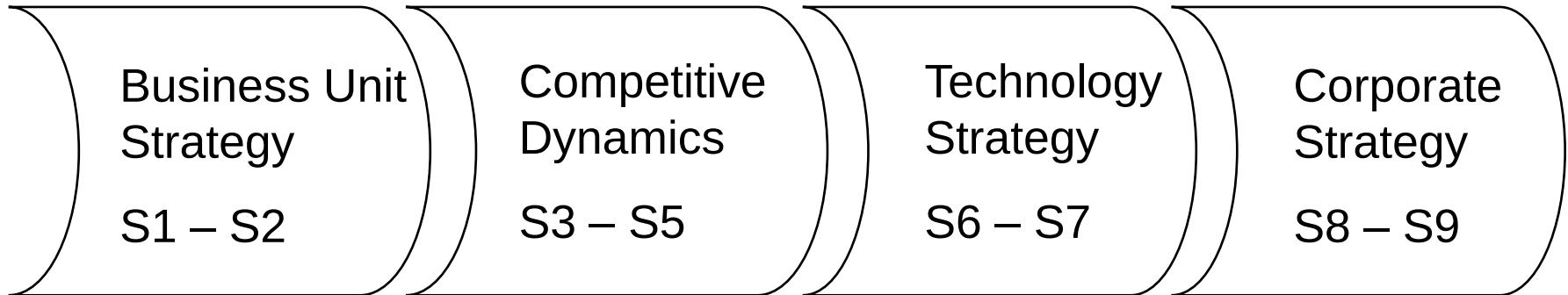
## Maybe ...

Making a movie and a book advertising your competitive advantage and explaining how dumb everyone else is not such a Good idea



## Moneyball

# Course outline



- |                                                                                                                                                                        |                                                                                                                                                                             |                                                                                                                                                         |                                                                                                                                                                     |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <ul style="list-style-type: none"><li>• Industry analysis: Value creation and capture</li><li>• Competitive Advantage</li><li>• Online competitive advantage</li></ul> | <ul style="list-style-type: none"><li>• Competing in Oligopolistic Markets.</li><li>• Managing Entry and responding to Entry</li><li>• Vertical Chain. Bargaining</li></ul> | <ul style="list-style-type: none"><li>• Demand Side increasing returns: Network effects Standards</li><li>• Technology Life Cycle. Disruption</li></ul> | <ul style="list-style-type: none"><li>• Scope and diversification</li><li>• Organization: Capturing Synergies</li><li>• Vertical integration. Outsourcing</li></ul> |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------|

# Logistics

# Me

- 1998: PhD Econ, Uchicago Econ
- 1998-2023: Prof of Economics and Strategy, ChicagoBooth  
1998-2008: **Chicago Booth** (Econ and Strategy) Assistantt, Associate, Full (Visited MIT, LBS, UvA, UPF)  
2008-2018: **LSE Prof** Econ and Strategy  
2018-2022: **IE Business School** (Econ and Strategy)  
2022-2023: Visiting Professor, Columbia, HBS, Chicago,
- 2019-July 2022: Member of the European Parliament, in charge of Econ Affairs (CBAM, RRF)
- 2023- : Back to Professor at LSE
- Research: Organizational Economics and Strategy: labor/inequality, productivity
- Outside
  - McKinsey Chair, Fedea
  - Board Member, Liberbank (5<sup>th</sup> largest publicly quoted bank in Spain)
  - Worked with top EU electronics firm, top EU telco, 2 top-4 software firm, start-ups (helped raise \$15m)

|                          |                                                                                                                                                                                                                   |       |      |
|--------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------|------|
| <input type="checkbox"/> | <a href="#">Hierarchies and the Organization of Knowledge in Production</a><br>L Garicano<br>Journal of political economy 108 (5), 874-904                                                                        | 1259  | 2000 |
| <input type="checkbox"/> | <a href="#">Organization and inequality in a knowledge economy</a><br>L Garicano, E Rossi-Hansberg<br>The Quarterly journal of economics 121 (4), 1383-1435                                                       | 640   | 2006 |
| <input type="checkbox"/> | <a href="#">Offshoring in a knowledge economy</a><br>P Antràs, L Garicano, E Rossi-Hansberg<br>The Quarterly Journal of Economics 121 (1), 31-77                                                                  | 591   | 2006 |
| <input type="checkbox"/> | <a href="#">The distinct effects of information technology and communication technology on firm organization</a><br>N Bloom, L Garicano, R Sadun, J Van Reenen<br>Management Science 60 (12), 2859-2885           | 470   | 2014 |
| <input type="checkbox"/> | <a href="#">The effects of business-to-business e-commerce on transaction costs</a><br>L Garicano, SN Kaplan<br>The Journal of Industrial Economics 49 (4), 463-485                                               | 462   | 2001 |
| <input type="checkbox"/> | <a href="#">Firm size distortions and the productivity distribution: Evidence from France</a><br>L Garicano, C Lelarge, J Van Reenen<br>American Economic Review 106 (11), 3439-79                                | 414   | 2016 |
| <input type="checkbox"/> | <a href="#">Favoritism under social pressure</a><br>L Garicano, I Palacios-Huerta, C Prendergast<br>Review of Economics and Statistics 87 (2), 208-216                                                            | 401   | 2005 |
| <input type="checkbox"/> | <a href="#">Language and the Theory of the Firm</a><br>J Cremer, L Garicano, A Prat<br>The Quarterly Journal of Economics 122 (1), 373-407                                                                        | 324 * | 2007 |
| <input type="checkbox"/> | <a href="#">Contractual allocation of decision rights and incentives: The case of automobile distribution</a><br>B Arruñada, L Garicano, L Vázquez<br>Journal of Law, Economics, and Organization 17 (1), 257-284 | 299   | 2001 |
| <input type="checkbox"/> | <a href="#">Political credit cycles: the case of the Eurozone</a><br>J Fernández-Villaverde, L Garicano, T Santos<br>Journal of Economic perspectives 27 (3), 145-66                                              | 294   | 2013 |
| <input type="checkbox"/> | <a href="#">Information technology, organization, and productivity in the public sector: Evidence from police departments</a><br>L Garicano, P Heaton<br>Journal of Labor Economics 28 (1), 167-201               | 224   | 2010 |
| <input type="checkbox"/> | <a href="#">The sovereign-bank diabolic loop and ESBies</a><br>MK Brunnermeier, L Garicano, PR Lane, M Pagano, R Reis, T Santos, ...<br>American Economic Review 106 (5), 508-12                                  | 195   | 2016 |
| <input type="checkbox"/> | <a href="#">European safe bonds (ESBies)</a><br>M Brunnermeier, L Garicano, PR Lane, M Pagano, R Reis, T Santos, ...<br>Euro-nomics com 26                                                                        | 181   | 2011 |

# Teaching method

Lectures for new concepts and synthesis

Cases to explore issues and apply ideas to complex, ambiguous settings

Few exact answers

- As in the real world, limited information available
  - Key quantities hard to measure
  - Answers will almost always be ambiguous
  - There are no recipes
- But there exist correct and incorrect arguments
  - Course will provide frameworks to get to answers



# Course style

- Intuition instead of algebra
- *Note that this does not make it any easier*
- Layman's terms instead of not jargon
  - Explain it to a boss
  - Argue with a colleague
  - Sell it to a client
- Boil the material down to directional effects and key tradeoffs
- Material is simple but not easy
- Each case is a puzzle—solving them out should be fun

# Grading & Requirements

|                            |            |
|----------------------------|------------|
| <i>Class participation</i> | <i>15%</i> |
| <i>Written assignments</i> | <i>20%</i> |
| <i>Group presentation</i>  | <i>15%</i> |
| <i>Final</i>               | <i>50%</i> |

# Class Participation [1/4]

Come on time! Be prepared!

Engage with your classmates. *Debate* one another – build on each other

DO NOT jump in with points that are not open

Chicago decorum:

- Interrupt me if I am unclear
- Challenge me if you disagree
- Challenge others (but politely)

# Participation [2/4]

Use study questions as your guide

- Discuss them in study groups
- Classroom ~ boardroom
  - *Concise* answers
  - Backed up by *evidence*
  - Quantity *and* quality matter
- Too slow for some, too fast for others
  - Probably a feature rather than a bug of the course
  - Endlessly hard subject—one that's littered with subtleties and countless opportunities to impress the room
  - Yet, equally many ways to prepare and improve

# Participation [3/4]

- Remember your name card!
- If you forget it, then make a **big card** with **bold text**
- **No outside sources apart from case material (except for personal experiences)**
- I will randomly *try to* cold call after first session
- If you absolutely do not want to participate for the day, then let me know ahead of time

# Participation [4/4] : Laptop/Phone etc policy

No social media, email in class

Humans are terrible at multitasking!

A participation intensive class generates externalities

If you are 50% focused, you waste everyone's time when you suddenly decide to participate

Phone/Laptop/iPad on airplane mode

For case materials, slides, and notes

## 4 Case Memos

2 each week

Focus on the Assignment Question

May be done in groups

All members should contribute each week

**Prepare to discuss all required readings in class**

# Group presentations

Volunteer for topic (done)

Objective: apply the class concepts to a particular problem, rather than to introduce theoretical ideas or frameworks.

Key: find a nice example of the particular issue and apply the concepts in the reading and class to that example.



# Readings and Website

- REQUIRED
  - All material—including the syllabus—distributed via Canvas
  - Everyone get announcements? Any issues with Canvas?
- OPTIONAL
  - Textbooks: Saloner, Dixit and Nalebuff.
    - Use them if some of the material is obscure or unclear.

# In-class Final

All questions are applied/real world business situations

- [33%] 4 True or False Questions
- [33%] 2 medium questions. Usually will be:
  - Strategy identification
  - An applied game theory
- [33%] A longer case question, based on a newspaper article, to be read at the start of exam time
  - Examples: Shimano, Enterprise were exam questions.

**No midterm**

# Honor code

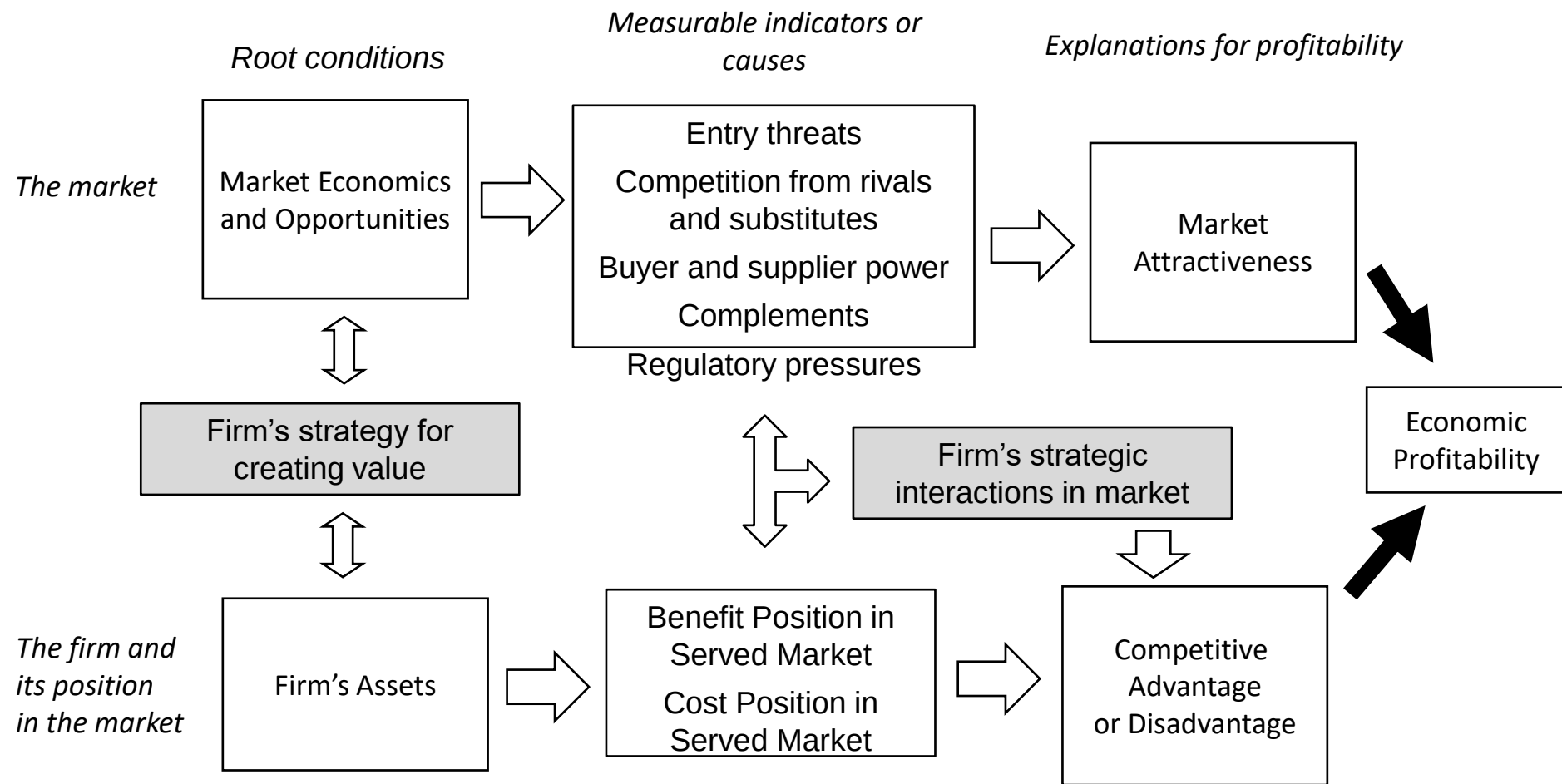
## Do not solicit or receive materials from past students

Discussing cases with students of previous sections or years, web or library research on cases; or use of previous sections notes violates rules of professional conduct

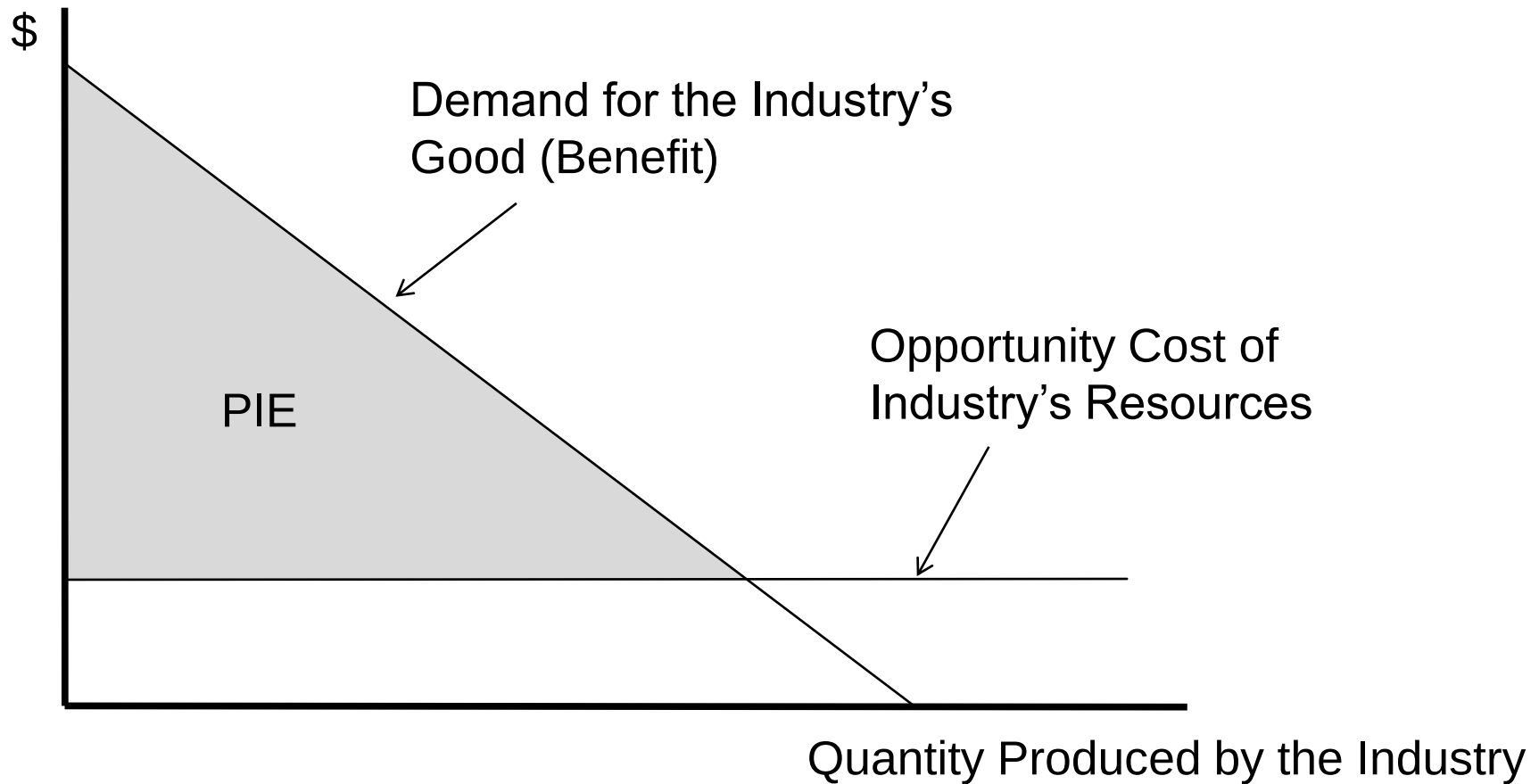
- it will spoil/ interfere with discussion
  - the whole point of case is to provide us with common information and to allow us common knowledge
- it will greatly reduce your learning experience
  - – it is all about developing ability/instinct to look at a business situation and think about how it looks like
- it will destroy your reputation for ethical conduct with those who find out in class
- it will get you in big trouble with me!

# Questions?

# A Framework for Competitive Strategy Analysis (I.e., Comp Strat in a Nutshell)



# A Framework for Competitive Strategy Analysis (I.e., Comp Strat in a Nutshell)



# A Framework for Competitive Strategy Analysis (

Value Creation: Changing the size of the PIE

- Increase benefits—shift demand up and out
- Decrease costs—shift opportunity costs down

Value Capture: Taking a larger share of the PIE

# Next

We begin to tackle industry analysis – key question

(1) what determines the size of pie?

(2) what determines who is capturing it?



# Why should we know how to analyze industries?

**“When an industry with a reputation for difficult economics meets a manager with a reputation for excellence, it is usually the industry that keeps its reputation intact.”**

**Warren Buffet**

## •Long-term Profitability of US Industries: EVA 1986-97

| <i>Industry</i>     | <i>EVA</i> | <i>Industry</i>           | <i>EVA</i> |
|---------------------|------------|---------------------------|------------|
| •Tobacco            | 9.4        | Paper and products        | (1.5)      |
| •Computer software  |            | Broadcasting and          |            |
| •& services         | 5.9        | publishing                | (1.5)      |
| •Personal care      |            | Cars & trucks             | (1.5)      |
| products            | 2.8        | Healthcare services       | (1.7)      |
| Medical products    | 2.7        | Machine tools, hand tools | (1.7)      |
| 6.0Printing &       |            | Appliances and home       |            |
| •advertising        | (2.0)      | furnishings               | (1.9)      |
| •Food processing    | 2.5        | Telephone equipment &     |            |
| •Drugs & research   | 0.7        | services                  | (2.1)      |
| •Beverages          | 0.2        | Plastics & products       | (2.6)      |
| •Textiles           | (0.1)      | Computers & peripherals   | (3.1)      |
| •Fashion retailing  | (0.4)      | Electrical products       | (3.3)      |
| •Building materials | (0.6)      | Aerospace & defense       | (3.3)      |
| •Metals             | (1.0)      | Railroads                 | (3.4)      |
| •Telecom services   | (1.2)      | Airlines                  | (4.1)      |
| •Discount retailing | (1.2)      | Steel                     | (6.4)      |
| •Semiconductors     |            | Cable television          | (7.2)      |
| •& components       | (1.3)      | Electronics               | (9.2)      |

Source: Hawawini et al, *Strategic Management Journal* (January 2003)

# CHICAGO BOOTH



The University of Chicago Booth School of Business